

Spotify Incentive Mix

Welcome to the Spotify Incentive Mix.

It's an important part of your reward as an employee and we're especially excited about this program because it lets **you choose for yourself** how you want to take part, if at all. This booklet gives you a brief summary of how the program works and what your choices are. The terms and conditions (Terms and Conditions) for your grant are available in a different document. There is one document for each type of incentive i.e. Cash, Employee Stock Options (ESOs) and Restricted Stock Units (RSUs) that you need to read and accept before receiving your grant (we will let you know when it's time for this).

You don't like choices? That's fine too.

If you prefer not to make your own choice, you may choose the default mix (100% Cash).

About.

In the **Spotify Incentive Mix** program, you get an incentive allocation and mix it yourself between the different alternatives described in this booklet.

This is a long term incentive and the program vests over four years. Read more about vesting on the following pages, but it's kind of like your grant is kept in a box with different compartments and new compartments get unlocked and accessible to you provided that you remain employed for these four years. If you leave the company before everything is vested you, as a general rule, leave with the parts of the award already released to you, and the rest will lapse and become forfeited.

We can't advise you how to choose. But in this booklet we explain the different options and give you information that will help you when making your choice (or decide to go for the Default Incentive Mix if you don't want to make your own choice). Nothing in this booklet constitutes investment, tax, financial or legal advice. You should always seek advice from your own independent advisors before making any decision based on the information provided in this booklet.

The first steps.

Some key points before we start:

- **You get your Incentive Allocation**, when joining the band.
- **Making Your Mix**

You will get an email from Workday, our internal employee portal, when it's time to make your choice and accept the Terms & Conditions, which you'll need to do prior to the deadline communicated to you in the email. You will need to complete your choice on time in order to receive the grant! Note, however, that no grants will be made until the date provided by the grant documentation.

- **After Your Grant date**

You will get access to our equity system, E*TRADE, where you can track your holdings once you have received your grant.

The 4 types.





The cash alternative is a fixed amount that is paid out as it vests via your paycheck. This means you get rewarded in a very predictable way and completely independently from how our share price changes.

The amount of cash
you get is 100% of your
incentive allocation.

Example of incentive allocation: USD 1,000
Example of cash that will vest: USD 1,000
(converted to your paycheck currency once vested)

What do I get at vest?

Cash payment on your paycheck (with a deduction of applicable income taxes for your country).

Do I need to do anything when my cash vest?

No. The cash will automatically appear on your paycheck.



RSU (Restricted Stock Units)

As the RSUs vest you will receive Spotify shares without paying for them. This means that the value of your grant in the end will depend on how the share price develops over time.

The number of RSUs

you get is your incentive allocation divided by the closing price of the Spotify share on the grant date.

Example of incentive allocation: USD 1,000

Example closing price of the Spotify share on grant date : USD 100

Number of shares you will get when they vest: $1\,000 \div 100 = 10$

What do I get at vest?

One share in the company for each vested RSU (with a mandatory deduction of the number of shares required to fund your income taxes at the applicable tax rate to the extent decided by the company. Potential additional taxes will be withheld in payroll).

Do I need to do anything when my RSUs vest?

No actions will be required on your end.



ATM ESO (At The Money Employee Stock Option)

Your ATM ESO exercise price is the closing price of the Spotify share price on the grant date. This means that the value of your grant in the end will depend on the how the share price develops. If the share price goes up between the time you get your option and the time you use it, the price difference is your gain. If the share price stays flat or goes down below your exercise price, there is no gain on the ATM ESO.

The number of ATM ESOs you get is 3 times your incentive allocation divided by closing price of Spotify shares on the grant date

Example of incentive allocation: USD 1,000
Example closing price of the Spotify share on grant date : USD 100
Number of options you will get: $3 \times 1000 \div 100 = 30$

What is an ESO?

An ESO is a right to acquire shares in the company at a certain fixed price (exercise price) in the future.
Example: If you get ESOs at the promised fixed price 100, and the share price goes up so it's 125 when you use the ESO to buy a share, you still only pay 100, and the difference of 25 is your gain.
Additional information regarding ESO follows on page 15.

What do I get at vest?

You get the right to exercise your vested options and buy one share in the company per option.

Do I need to do anything when my ATM vests?

If you want to buy the shares you must pay the exercise price for your ATM ESO and an amount equal to applicable withholding income taxes in your country. Note that you are not obligated to exercise your ATM ESO.



OTM ESO (Out of The Money Employee Stock Option)

Your OTM exercise price is 150% of the closing price of the Spotify share price on grant date. The value of your grant in the end will depend on the how the share price develops. If the share price goes up to over 150% between the time you get your option and the time you use it, the price difference is your gain. If the share price does not go up above your exercise price there is no gain on the OTM ESO.

The number of OTM ESOs you get is 6 times your incentive allocation divided by closing price of Spotify shares on the grant date

Example of incentive allocation: USD 1,000
Example closing price of the Spotify share on grant date : USD 100
Number of options you will get: $6 \times 1000 \div 100 = 60$

What is an ESO?

An ESO is a right to acquire shares in the company at a certain fixed price (exercise price) in the future.

Example: If you get ESOs at the promised fixed price 150, and the share price goes up so it's 175 when you use the ESO to buy a share, you still only pay 150, and the difference of 25 is your gain.

Additional information regarding ESO follows on page 15.

What do I get at vest?

You get the right to exercise your vested options and buy one share in the company per option.

Do I need to do anything when my OTM vests?

If you want to buy the shares you must pay the exercise price for your OTM ESO and an amount equal to applicable withholding income taxes in your country. Note that you are not obligated to exercise your OTM ESO.

Tax



At vesting of RSUs and Cash and at the exercise of ATM or OTM ESO you will likely owe income taxes. **This differs between countries** and where you have been working. You will find the general overview in country tax booklets available for employees in Spotify's internal systems.

RSUs

In countries where the vesting triggers income tax, Spotify will withhold the number of shares required to fund your income taxes at the applicable tax rate to the extent decided by the company. Potential additional taxes will be withheld in payroll. You'll receive the remaining shares on your E*TRADE account.

In general you should always **consult your financial/tax advisor**.

How this works.

· Granting · Vesting · Exercising

Grant



Granting happens on a set schedule once every month. After you have completed and submitted your choice, and at the same time accepted the Terms and Conditions for your program, you will get your grant.

Important: you need to meet the deadline stated in your info email when it's time to make your mix and accept the Terms & Conditions. Then we'll add you to the next upcoming grant and you'll automatically get an invite to our equity system, E*TRADE, where you can track and manage your grant. Note, however, that no grants will be made until the date provided by the grant documentation.

Vesting schedule



Vesting means that your grant becomes accessible for you to use, subject to Spotify's insider trading policy and applicable securities laws to the extent applicable. **Your grant will vest over time**, bit by bit, as long as you continue working here. Your grant will start vesting 3 months after the grant date: **3/48 on the 3rd month, followed by 1/48 each month thereafter**. Assuming you stay employed, four years after the grant date your entire grant will be vested and it's generally all yours to keep.



Vesting & exercise of your ESOs



Vesting of ATM and OTM ESOs

When your ESOs are vested, you have the right to buy one share in Spotify for each vested ESO. If you decide to buy a share, you pay the fixed price that was set at granting date. You don't have to exercise the ESOs when they vest, you can wait until later, for as long as the program is running (5 years after grant date). If you decide in the end that you don't want to buy a share at all that's fine too, you are not obliged to buy shares.

Exercising (using) your ESOs

Exercising your ATM or OTM ESOs means that you exchange vested ESOs and pay a specific price, known as the exercise price (the fixed price we promised you at grant), in return for shares in Spotify. Since the Spotify share is listed on the market, you can (as permitted under the Spotify insider trading policy) sell some or all of the shares at the same time to cover your costs. This is a cashless exercise where you don't need to come up with the cash yourself. The point of an ESO is that if the share price goes up between your grant date and your exercise day, you still only pay the exercise price, which means you pay less than market price for them.

Remember that as soon as you exercise your ESOs you also have to pay any applicable income taxes. The tax rules and practicalities differ between countries, so find your country specific details in the tax booklets.

Once your ATM or OTM have vested you can go ahead and exercise them until the program ends.

The program ends 5 years after the grant date, so you will need to exercise, otherwise they lapse. If you leave Spotify before the end of the program, you'll have a limited time period to exercise any vested ESOs. The unvested ESOs lapse and cannot be exercised.



Exercise Price

The exercise price is set at the grant date. The exercise price is the price you pay to acquire one share in Spotify and this is a fixed price which means that no matter when you choose to exercise your ESOs during the program - the price you pay stays the same. You'll find the exercise price per ESO in your notice of grant and on your E*TRADE account - this amount is in USD.

This is how we calculate it for the two different ESO types:

ATM ESO = exercise price is equal to the closing price of the Spotify share on the day of grant

OTM ESO = exercise price is equal to the closing price of the Spotify share the day of grant + 50% of the aforesaid

What happens if you leave Spotify



Unvested incentive

In general, all unvested Cash, RSU, ATM and OTM ESO stop vesting and immediately lapse once your employment ends.

Vested Cash and RSU

You leave with the parts of the award already released to you.

Vested ATM and OTM ESO

You'll have a period of 90 days after the end of your employment, during which you must exercise your vested ATM and OTM ESO (otherwise they will lapse). The day on which your employment is deemed to end varies depending on your circumstances.

Other circumstances

If your employment is terminated for **Cause** (as defined in the Terms and Conditions) – all your ATM or OTM ESO will immediately lapse and you can't exercise them.

If you are on **probationary** or trial employment – if your employment is terminated at the end of the probation or trial period, all vested and unvested ATM or OTM ESO will lapse.

This is a brief summary of what may happen with your incentives when leaving Spotify. Note that this summary only covers the most common situations when leaving Spotify and does not intend to be exhaustive. Additional/other rules may apply in your situation. You'll find the complete terms applicable for all situations in the different Terms and Conditions applicable to your grant.

Cheat Sheet



	Cash	RSUs	ATM Stock Options	OTM Stock Options
Amount Granted by Type	100% of your Incentive Allocation	100% of your Incentive Allocation ÷ closing price of Spotify shares on date of grant	3 times your Incentive Allocation ÷ closing price of Spotify shares on date of grant	6 times your Incentive Allocation ÷ closing price of Spotify shares on date of grant
Timing of Grant	Grants are made once every month. You will be included in the next upcoming grant cycle after you start.			
Timing of Vest	3/48 after 3 months. Thereafter 1/48 monthly. Fully vested after 4 years.			
What Happens at Vest	Cash amount paid out on your paycheck, applicable income tax withdrawn.	For certain countries where the vesting triggers income tax, Spotify will withhold enough shares to cover your tax bill.	Your employee stock options are available to exercise. It is your choice whether or not to exercise, and you may exercise at a later time.	
Expiration Date	N/A	N/A	5 years after the grant date.	
What Happens if I Leave Spotify?				
Unvested	Vesting stops on the last day of employment and any unvested amounts will be forfeited.			
Vested	N/A	N/A	Usually, you'll have a period of 90 days after your last day of employment, during which you must exercise your vested stock options (otherwise you will lose them).	
For Cause	N/A	N/A	If your employment is terminated for Cause (as defined in the Terms and Conditions governing your alternative(s)) – all your stock options, whether vested or unvested, and your undistributed Cash will lapse.	

Making your Mix.

How to decide what to choose

What is the best choice for someone is very individual. It depends on for how long you think you'll stay at the company, when you want to use the money from the grant (assuming there's a gain when the the RSUs vest or you exercise the ESO), and how you think our share price will develop in the future.

You can choose to have only one type in your grant (100% of your awarded amount) or combine two different ones assigning any of the percentages listed below.

You can mix in portions of 25%, 50% and 75%.

Making Your Mix

Select your First Type:

You may allocate 100% of your Incentive Allocation toward one type OR combine a maximum of two types in increments of 25% (i.e. 25% & 75%, or 50% & 50%)

Select your Second Type:

If you chose to combine two types, select a second type. Your second selection must be different from your first and the total of both types must equal 100%.



Five examples of mixes



Agnetha believes in the company and wants to benefit when it does well, but she's also planning to start a family soon and she likes the idea of a safe nest egg. So she chooses 25% ATM ESO and 75% RSUs.



Björn does not like risks at all. Also he's about to buy a new house so that extra cash every month will come in very handy. Björn will choose 100% Cash.



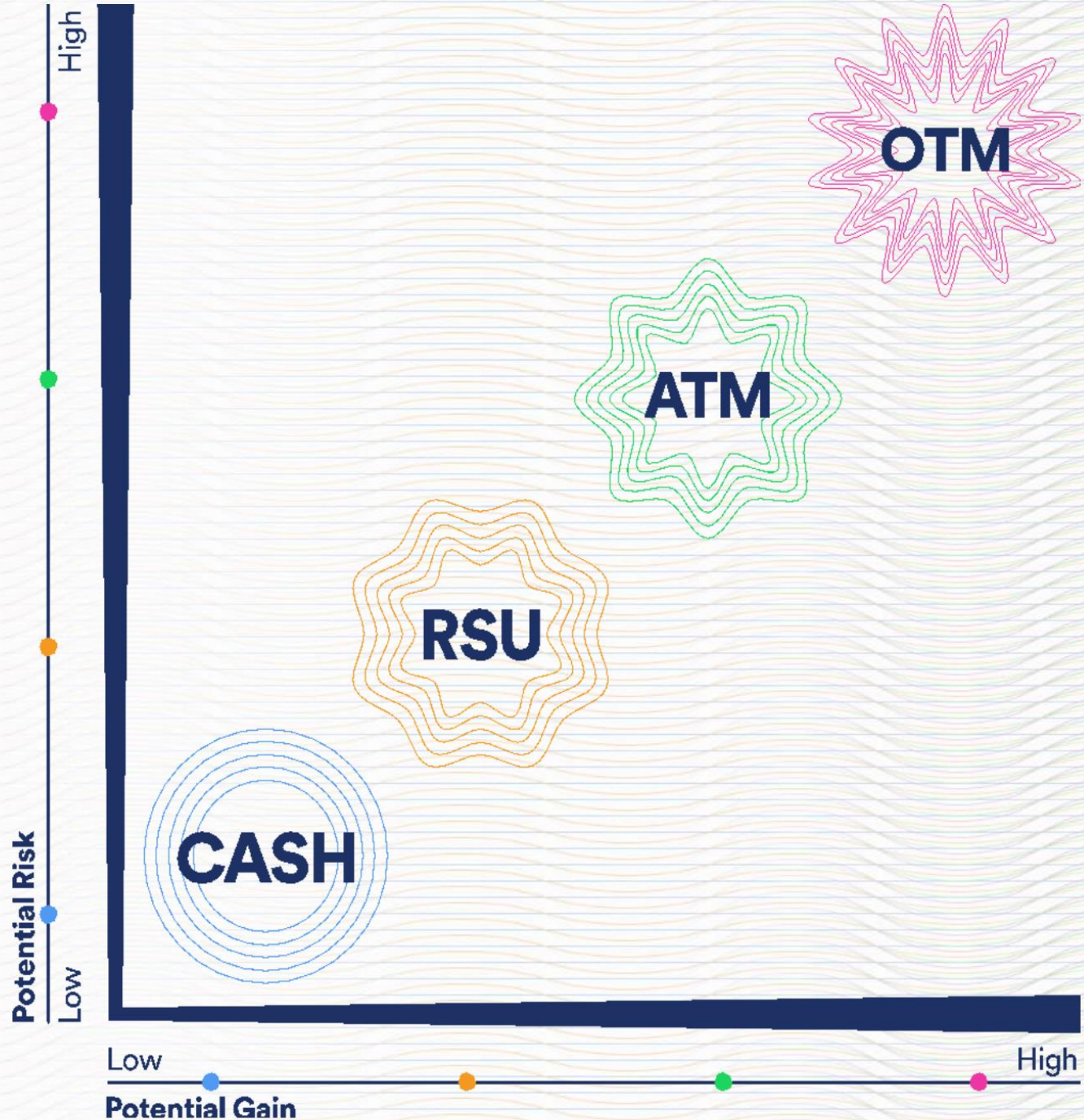
Benny is not a risk taker either. He prefers RSUs before options because the reward has a more immediate value, and before cash because company growth can still impact the total reward in the end. Björn will choose 25% cash and 75% RSU.



Anni-Frid is a risk taker. Anni-Frid is not in need of extra cash at the moment and are willing to take the risk for a future gain. Anni-Frid will choose 100% ATM ESO. If Spotify goes well there will be high reward over time for her.



Chiquitita is willing to take the highest risk, because high risk also means the chance to win big. She knows there's a risk she'll lose out but she believes that the share price will more than double in five years, and that she will still be an employee when that happens. Chiquitita will choose 100% OTM ESO.



Tools.

Now when you are familiar with the different mixes, here are some tools to help illustrate how the value could change with the Spotify share price.

How the gain follows the share price

This table illustrates how your gain could change using a few examples of growth rates. In this example, the incentive allocation is USD 1,000 and the share price on the grant day is USD 100.

Remember to take into account how you think the share price will develop over time, how long you think you'll stay with the company and that there is no guarantee that the share price will increase over time

Incentive Allocation	Incentive Type	Share Price	Ratio	Granted Quantity	Gain at... 0% growth	34% growth	101% growth	130% growth
\$1,000	Cash	\$100	1	\$1,000	\$1,000	\$1,000	\$1,000	\$1,000
\$1,000	RSU	\$100	1	10 RSUs	\$1,000	\$1,340	\$2,010	\$2,300
\$1,000	ATM ESO	\$100	3	30 ATM ESOs	\$0	\$1,020	\$3,030	\$3,900
\$1,000	OTM ESO	\$100	6	60 OTM ESOs	\$0	\$0	\$3,060	\$4,800

Note that the information above does not consider tax aspects, so the numbers are pre-tax. Find a country specific overview regarding taxes in the tax booklet.

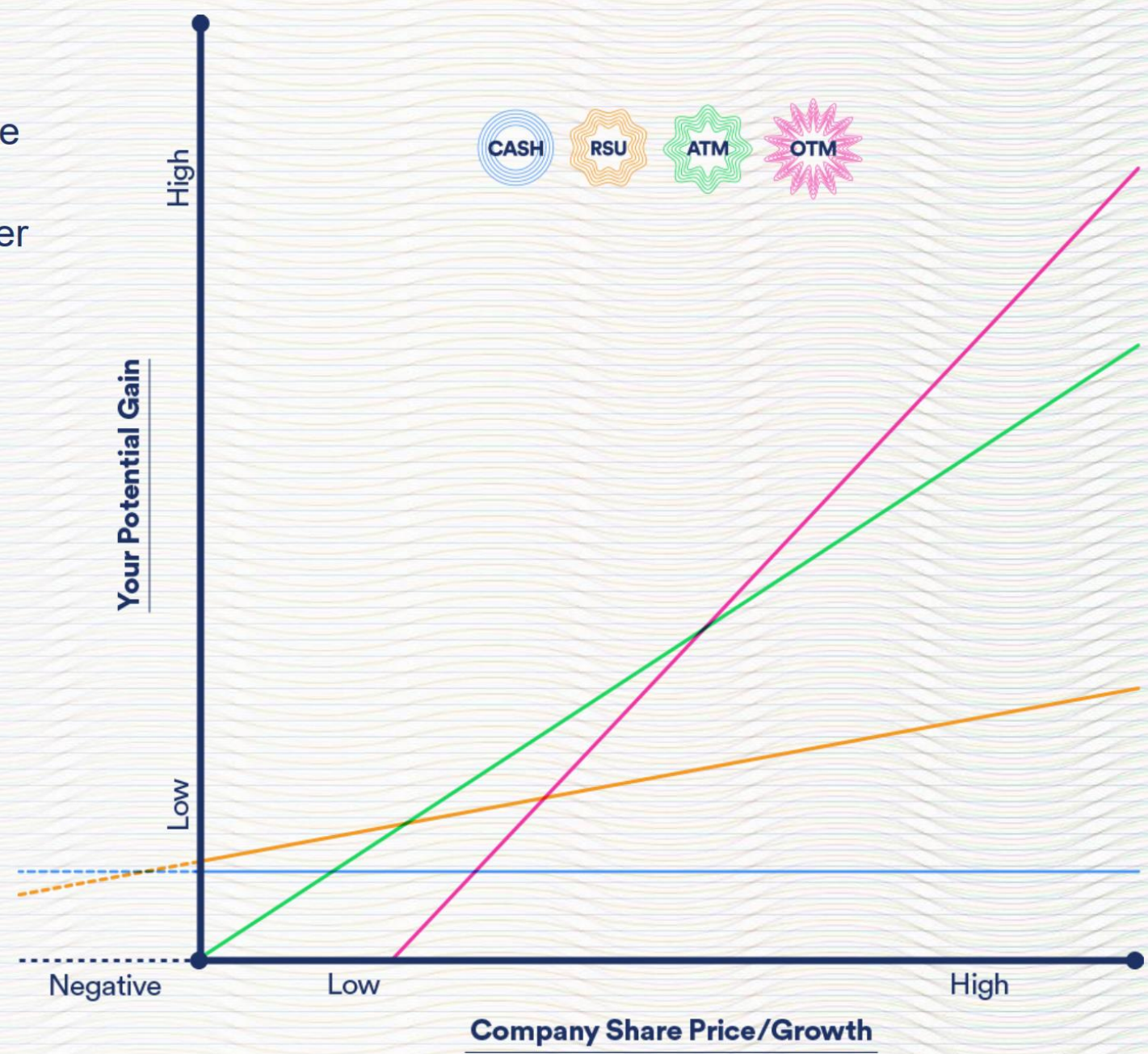
Calculator

As the share price changes so does the gain of the incentive types. The cash alternative stays the same, but the other ones depend on the share price.

Here's a calculator so you can test your own mix and estimation of the share price:

Incentive Mix Calculator

(requires Spotify login credentials)



And finally – some important words to bear in mind:

This booklet provides a brief overview of the terms of the Spotify Incentive Mix. You'll find the full terms and conditions of each instrument in the relevant Terms and Conditions document. No rights can be derived from this booklet. In the case of any discrepancy between this booklet and the relevant Terms and Conditions, the relevant Terms and Conditions shall prevail. Spotify reserves the right at its discretion to reserve, amend or cancel the Incentive Mix Program at any time.

The offer to participate in the Spotify Incentive Mix is not an offer to the general public in any of the countries where it is being made. This booklet is not a prospectus in the meaning of the Prospectus Directive (2003/71 EC) (as amended or supplemented, including the Prospectus Regulation (EU) 2017/1129) and has therefore not been approved by, nor registered with, the Swedish Financial Supervisory Authority (Sw. Finansinspektionen) or any other authority in Sweden or in any other country. This communication shall not constitute an offer of any securities described in this communication, nor shall there be any offer of any such securities in any state or jurisdiction in which such offer, solicitation or sale would be unlawful prior to registration or qualification under the securities laws of any such state or jurisdiction. A registration statement relating to these securities will be filed and has not yet become effective. The securities will not be offered prior to the time the registration statement becomes effective.

Nothing in this booklet is intended to create or affect an employment relationship between any company within the Spotify group and any other person.

This booklet shall be governed by and construed in accordance with the substantive laws of Sweden (excluding the rules on conflict of laws) and any dispute, controversy or claim arising out of or in connection with this booklet, shall be finally settled in accordance with the procedures set out in the relevant Terms and Conditions.

All investments in shares or share-related instruments involve an element of risk. It is important to be fully aware of this. The investment may increase or decrease in value and there is no guarantee that the any invested amount will be returned. A decision to participate in Spotify Incentive Mix should therefore be preceded by a careful analysis of the relevant Terms and Conditions.

It is also important that you carefully consider how participating in the Spotify Incentive Mix will or may affect your financial situation. Please note that the shares of Spotify are currently traded on the New York Stock Exchange and any trading in the shares will be subject to Spotify's insider trading policy and applicable securities laws.

Additional information for employees in Australia

1. General Advice Only

Any advice given by Spotify, or any related body corporate (in the meaning given in section 50 of the Corporations Act 2001 (Cth)) of Spotify, does not take into account any persons to whom an offer or invitation of participation in the Spotify Incentive Mix are made in Australia's ("Australian Participants") objectives, financial situation and needs. Australian Participants should consider obtaining their own financial product advice from an independent person who is licensed by the Australian Securities & Investments Commission to give such advice.

2. Acquisition price of equity related instruments

No acquisition price is payable by Australian Participants for Spotify to grant to an Australian Participant the number of equity related instruments set out in her or his notice of grant.

3. Risks of participating in the Spotify Incentive Mix and holding shares in Spotify

Acquiring and holding shares and other equity related instruments in Spotify involves risk. These risks include that:

- a) there is no guarantee that shares in Spotify will grow in value - they may decline in value. Stock markets are subject to fluctuations and the price of shares in Spotify can rise and fall, depending upon Spotify's performance and other internal and external factors.
- b) Spotify may decide not to pay dividends on its shares.
- c) there are tax implications involved in participating in the Spotify Incentive Mix, acquiring and holding shares in Spotify and the tax regime applying to Australian Participants may change.

4. Market Price of shares in Spotify in Australian Dollars

An Australian Participant could, from time to time, ascertain the Australian dollar equivalent of the market price of shares in Spotify by obtaining that price from the New York Stock Exchange website, the Spotify website or The Wall Street Journal, and multiplying that price by a published exchange rate to convert U.S. Dollars into Australian Dollars.

Additional information for employees in Mexico

By participating in the Spotify Incentive Mix, you acknowledge and agree that:
The shares offered to you have not been registered with the National Register of Securities maintained by the Mexican National Banking and Securities Commission and may not be offered or sold publicly in Mexico. The booklet may not be publicly distributed in Mexico, and are addressed to you only because of your existing labour relationship with Spotify and may not be reproduced or copied in any form. Any of your rights under the Spotify Incentive Mix may not be assigned or transferred.

The offering of shares is provided to you by Spotify Technology S.A., not by your local employer. The decision to include a beneficiary in this or any future offering is taken by Spotify Technology S.A. in its sole discretion. The offering does not form part of your employment agreement and does not amend or supplement such agreement. Participation in the Spotify Incentive Mix does not entitle you to future benefits or payments of a similar nature or value, and does not entitle you to any compensation in the event that you lose your rights under the Spotify Incentive Mix. Benefits or payments that you may receive or be eligible for under the Spotify Incentive Mix will not be taken into consideration in determining the amount of any future benefits, payments or other entitlements that may be due to you (including in cases of termination of employment).

Questions?

For general queries, please email equity@spotify.com

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